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How confident are you that the ELI will actually lead to job creation as there has been a slowdown in private investment and demand in the last few years?

One needs to put together a number of aspects. First, India is the fastest-growing major economy. The RBI's KLEMS data for 2022–23 reveals the growth drivers for employment. The services sector has employed about 205 million people—of which almost 55 million have been employed in the last nine years. Construction has added another 23 million. Manufacturing is another big employer. Start-ups have been contributing to employment, the gig economy is coming up, and global capability centres are becoming a source of employment. We see tourism as another potential area. Also, fintech and the financial sector... are expanding. The Budget also has a whole-of-government approach geared towards employment—through schemes for MSMEs, the Mudra loans, foreign direct investment (FDI), industrial parks, and 12 industrial corridors. These are all growth drivers, not just investments. Employment will also come in naturally. And that sets up a virtuous cycle.

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Could you throw some light on the internship scheme at the Top 500 companies?

This is dealt with by the Ministry of Corporate Affairs. But there's a lot of excitement; I would say the initial interaction with industry indicates that they're happy with the internship scheme, for a couple of reasons. One, the

scheme helps create a pool of employable young people—something that industry has always asked for. Two, they will also be able to utilise their own corporate social responsibility funds.

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The labour ministry is also working on capturing data on job creation at regular intervals...

We are attempting to capture the data from the different government schemes on employment generation and get a comprehensive view of job creation. We have asked each ministry to undertake a comprehensive review of their systems and how they can improve them. It should take a couple of months to put all this together.

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Is there any update on the Labour Codes?

It's a tripartite consultative process, and it has to be a process of convergence. We are consulting with the labour unions and the employers once again. And, most importantly, we are focussing on the states and Union territories. We have reviewed their draft rules. About 31–32 states, depending on the Code, have already pre-published their draft rules, but the quality of the draft rules needs to be harmonised with the framework of the Labour Codes. The industry cannot face different rules across different states if they have their units across states. And second, there has to be uniformity with the spirit of the Labour Code. We have already had a video conference in June. **BT**

Kavita Shirvaikar, Managing Director of infrastructure firm Patel Engineering, says that anticipating a surge in infrastructure projects in the next few years, the company is set to undertake mass hiring across all levels, from project managers to the junior-most positions, including critical positions like planning, billing, contracts, geologists, and surveyors. "We are also looking to the future by investing in fresh talent through campus hiring initiatives," she says.

AS THE DUST SETTLES

But there are concerns born out of similar experiments in the past about the economic environment and the actual details and on-ground implementation of the schemes. One big question is the hiring capacity of India Inc. amidst muted consumption demand and subdued private investments.

Amit Basole, Professor of Economics and Head of the Centre for Sustainable Employment at the Azim Premji University, points out that the past few years have been unusual due to pandemic-related shocks, and there are structural problems on the demand side such as muted private investments. "The ELI schemes nudge employers to hire more, but the actual hiring would depend on the actual demand and the severity of these structural problems," he says.

Sanjay Kumar, CEO & MD of food service firm Rassense, agrees that skilling people for the sake of it is not going to create more opportunities, because in this case, supply will not create demand. "Employment of youth has been an issue for many companies for two reasons. One is the absence of skills, and the other is muted growth, particularly because domestic consumption has been growing at a slower pace than anticipated," he says.

Earlier schemes have had mixed